

more cash-generating businesses, which generate cash, which allows him to . . . I am sure you the get the picture.

The last pillar is decentralization. Each of the subsidiaries is managed by very talented operators who need no help from Buffett to run their businesses. All for the better, as this allows Buffett to focus nearly 100 percent of his energies on capital allocation, his best talent. Buffett's management manifesto can be summarized as "hire well, manage little." Today, Berkshire Hathaway is a company with 80-plus subsidiaries and more than 270,000 employees, but the corporate headquarters is staffed by just 23 people.

The architecture of Berkshire Hathaway has led to something that is more powerful than a simple business strategy, says William Thorndike, author of *The Outsiders: Eight Unconventional CEOs and Their Radically Rational Blueprint for Success*. "Buffett has developed a *worldview* that at its core emphasizes the development of long-term relationships with excellent people and businesses and the avoidance of unnecessary turnover, which can interrupt the powerful chain of economic compounding that is the essence of long-term value creation," wrote Thorndike.^{[10](#)}

Thorndike believes Buffett is best understood as a "manager/investor/philosopher whose primary objective is turnover reduction."^{[11](#)} Why? Because there is a cost to turnover, and I am not speaking just of trading commissions and capital gains taxes. In Buffett's mind, the cost of turnover is more human in nature. If you have assembled the best businesses, run by some of the best managers, financed by some of the best shareholders, why would anyone want to disrupt the long-term value creation that comes from this potent combination?

Learning to Think Like Buffett

In the 20-some years I have been writing and lecturing about Warren Buffett and his unparalleled success, one comment I hear often is some variation of this: "Well, if I had his millions I could make lots of money in the stock market, too." I never understood this thinking. If you follow the logic, what they are saying is you first have to be rich before you can achieve the talents of becoming rich. But I would remind readers that